

Tax & Depreciation Essentials Checklist — Investors (New South Wales)

What to have in place, and what's changing, before you lodge your next return.

Correct as at July 2026. General information only — this is NOT financial, tax or legal advice. Always engage a qualified accountant or tax agent for advice specific to your situation.

Section 1 — Records to Keep From Day One

- ☐ [] **A tax depreciation schedule from a qualified quantity surveyor** — identifies deductible depreciation on the building structure (Division 43) and eligible plant and equipment (Division 40).
- ☐ [] **Receipts for repairs vs. improvements — kept separately.** Repairs are often immediately deductible; improvements and renovations are not, and instead form part of your CGT cost base.
- ☐ [] **Revenue NSW land tax assessments** — keep every annual assessment, since the 3-year averaging method means past values remain relevant to current calculations.
- ☐ [] **Stamp duty and transfer duty receipts.**
- ☐ [] **Records of your accountant fees and depreciation schedule costs** — both generally deductible for the investment property portion.

Section 2 — NSW Land Tax Obligations

- ☐ [] **Check whether you're above the general threshold.** Land tax applies where your total taxable NSW land value exceeds **\$1,075,000** (frozen from the 2025 land tax year, under review by 1 June 2027).
- ☐ [] **Understand land is assessed at midnight on 31 December each year.** If you sell on 30 December, you're clear for the following year's assessment; if you still own it on 1 January, you're liable for the full year even if you sell shortly after.
- ☐ [] **Understand the 3-year averaging method** used to calculate your taxable land value — check the individual year values used in any assessment, not just the final figure.
- ☐ [] **Check trust land tax exposure.** Special and discretionary trusts generally don't receive the tax-free threshold — model this before buying through a trust structure.
- ☐ [] **If you're a foreign person, budget for surcharge land tax** — 5% of land value from the 2025 land tax year, with no threshold and no principal-residence exemption.
- ☐ [] **Know the interest cost of late payment.** Revenue NSW charges daily interest on unpaid land tax — recent quarterly rates have been in double digits, substantially higher than typical mortgage rates, so don't treat land tax as a bill you can delay.

Section 3 — Understanding the Changing CGT Environment

- ☐ [] **Be aware Commonwealth CGT settings for investment property are changing.** Reforms affecting the CGT discount move toward cost-base indexation plus a minimum tax rate, generally applying from **1 July 2027**. Confirm the finalised, current rules with your accountant.
- ☐ [] **If planning to sell, get advice on timing relative to the 2027 changeover** — the impact depends heavily on your specific purchase price, holding period, and expected gain.
- ☐ [] **Check whether transitional or grandfathering provisions might apply** to a property purchased before certain cutoff dates, rather than assuming either the old or new rules automatically apply to your situation.

Section 4 — Depreciation Schedule Timing

- ☐ [] **Get your depreciation schedule prepared as early as possible after settlement.**
- ☐ [] **Update it after any renovations or major asset additions** — new plant and equipment needs to be incorporated to be claimable.
- ☐ [] **Don't assume an older property has no deductions available** — plant and equipment deductions can still apply even where building-structure depreciation is limited by construction date.

Section 5 — Questions to Bring to Your Accountant

- ☐ [] What is my current NSW land tax position, factoring in the 3-year averaging method?
- ☐ [] Am I (or could I be considered) a foreign person for surcharge land tax purposes, and if so, what does that mean for this property?
- ☐ [] How will the 2027 CGT changes affect a future sale of this property, given my purchase price and expected holding period?
- ☐ [] Is my depreciation schedule up to date with any renovations or asset purchases since it was last prepared?

Quick Reference — NSW Investor Tax Snapshot (July 2026)

ITEM	DETAIL
Land tax general threshold	\$1,075,000
Land tax premium threshold	\$6,571,000
Foreign surcharge land tax	5%, no threshold
Land tax assessment date	Midnight, 31 December

CGT discount changes	Cost-base indexation + minimum tax from 1 July 2027
Depreciation schedule	Div 40 (plant/equipment) + Div 43 (building) — quantity surveyor required

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